

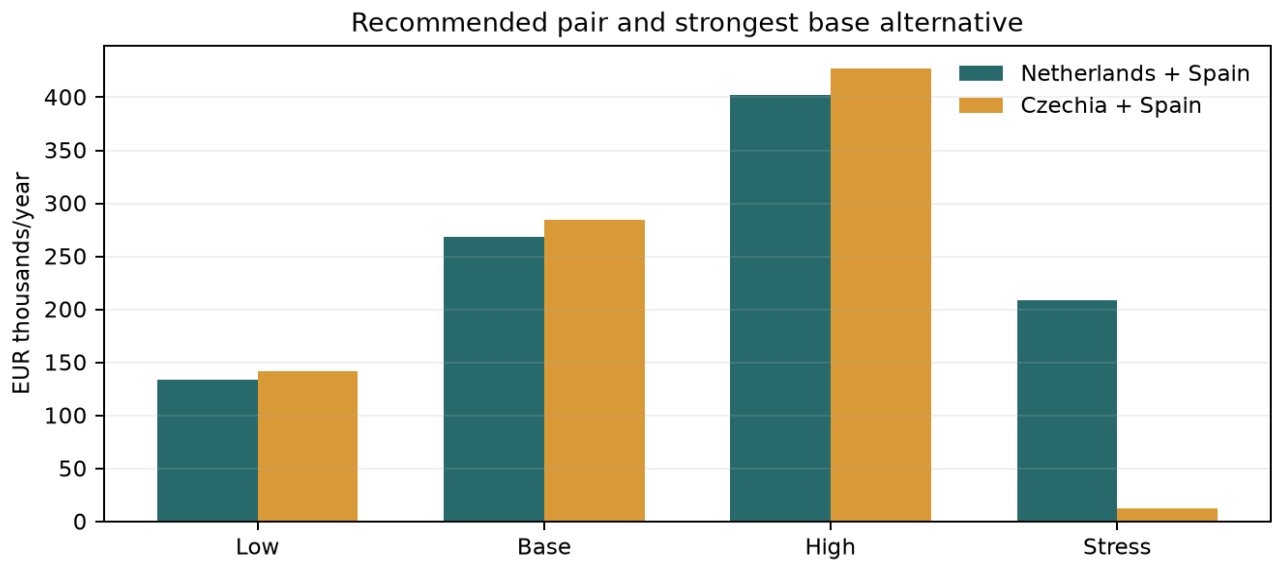
Meridian Parts

European service-hub expansion | Board decision report | 27 September 2026

Recommendation: stage Netherlands + Spain; release no capex until a 90-day validation confirms demand, service improvement and realizable savings. Supplied assumptions yield EUR268,160 annual increment in base and EUR208,859 in defined stress; capex EUR270,000; six FTE. This is scenario analysis, not a causal estimate.

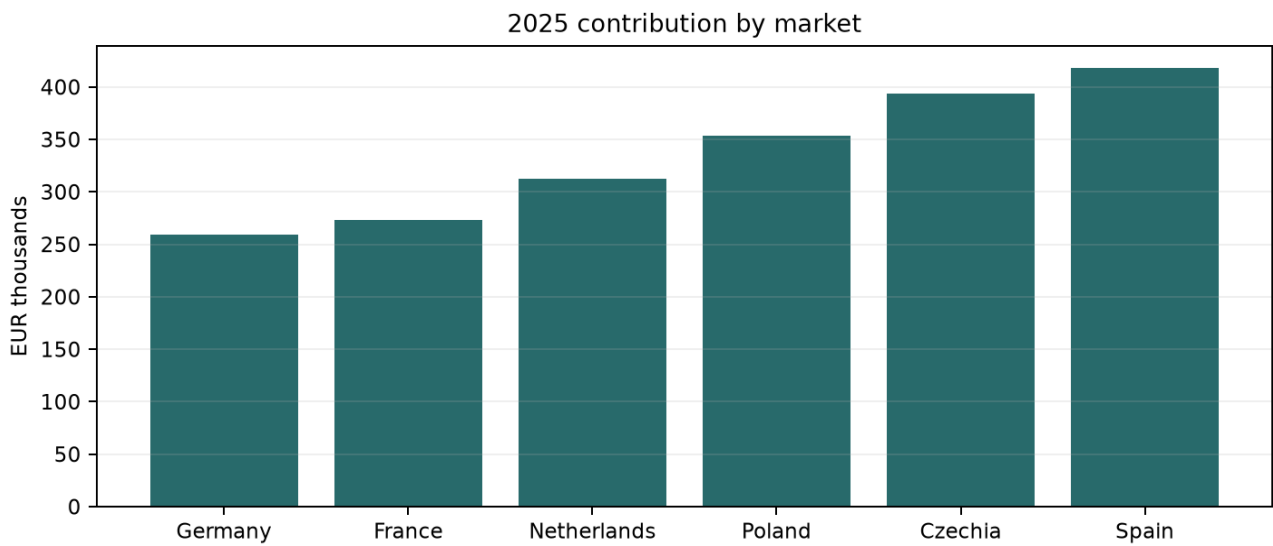
Decision in brief

Hard limits: EUR450,000 capex, seven FTE, maximum two hubs; defer is allowed. Netherlands + Spain leads on the client-defined stress case. It gives up EUR16,230 base annual contribution against Czechia + Spain but retains EUR196,744 more under stress.



Low/base/high uplifts: 10%/25%/40%. Stress: 25% uplift, refund shock 3% gross sales, 10% depreciation shock on PLN/CZK net sales. No probability assigned.

2025 operating baseline



Spain leads contribution at EUR418,333, then Czechia EUR393,792 and Poland EUR353,245. All six markets: EUR4.465m gross, EUR4.036m net sales, EUR2.011m contribution; 1,254 eligible orders, 80,436 units and 1,081

returned units through cutoff. Contribution deducts net COGS and nonrefundable fulfillment; it is not booked revenue or cash. Source files: synthetic orders-part1.csv, orders-part2.csv, order-corrections.csv, returns.csv and unit-costs.csv; archived ECB ecb-history.zip supplies translation rates.

Country totals

Market	Orders	Units	Gross	Refunds	Net sales	Net COGS	Fulfill	Contribution	Margin	Returns
Germany	209	12,153	631,245	5,453	625,792	353,186	13,446	259,160	41.4%	73
France	209	11,880	640,930	8,699	632,231	344,166	14,507	273,558	43.3%	144
Netherlands	209	12,576	709,109	11,376	697,733	368,551	16,593	312,589	44.8%	144
Poland	209	13,163	776,508	14,618	761,890	389,946	18,698	353,245	46.4%	180
Czechia	209	13,733	834,572	19,265	815,307	400,605	20,910	393,792	48.3%	288
Spain	209	13,931	872,259	21,420	850,839	409,798	22,708	418,333	49.2%	252

Accounting

Gross sales are discounted product sales translated at the original shipment-month ECB mean. Refunds use the same sale-month quote. Net sales=gross less refunds. Net COGS deducts cost only for restocked returns; fulfillment is actual nonrefundable EUR. Contribution=net sales–net COGS–fulfillment. Cash differs with payment timing, fees, settlement FX and receivables not supplied. Hub costs/capex sit outside baseline contribution.

Hub options

Portfolio	Base EUR/y	Stress EUR/y	Capex	FTE	Stress payback
NLD+ESP	268,160	208,859	270,000	6	1.29y
CZE+ESP	284,389	12,115	225,000	5	18.57y
POL+ESP	275,779	12,359	240,000	6	19.42y
NLD+CZE	245,892	-1,126	235,000	5	—
POL+CZE	253,049	-4,516	205,000	5	—
FRA+ESP	223,329	166,584	340,000	7	2.04y
NLD+POL	236,631	-1,532	250,000	6	—
FRA+NLD	183,014	132,387	350,000	7	2.64y
ESP	101,825	69,115	130,000	3	1.88y
CZE	94,497	-38,713	95,000	2	—
POL	82,800	-41,555	110,000	3	—
NLD	63,451	36,860	140,000	3	3.80y
FRA	26,454	2,420	210,000	4	86.79y
DEU	9,287	-14,384	280,000	5	—

Recommendation and alternative

Netherlands + Spain is the strongest stress-performing feasible pair: EUR208,859 stress, EUR268,160 base, positive low/base/high, EUR270,000 capex, six FTE. Czechia + Spain has strongest base (EUR284,389), EUR225,000 capex/five FTE, but stress is EUR12,115 and 18.57-year payback vs 1.29 years. The difference is the stipulated 10% CZK shock, not a live forecast. Holding other inputs fixed, Czechia + Spain would lead the stress comparison if the CZK depreciation shock were below about 0.55%. If the board rejects the stress and prioritizes base output, Czechia + Spain is the alternative. If inputs fail validation, defer. Eleven pairs meet limits; workbook includes all singles and feasible pairs across four scenarios; pairs assume no synergy.

Criteria provenance: capex and staffing are hard client constraints. Baselines and options are synthetic client inputs; scenario results are computed from them. Ranking on stress is a conservative consultant default because no board weights were supplied; it is not a board-approved preference or blended score. Annual increment = $C \times u + U \times (1+u) \times s - F$. Capex is year zero; simple payback is capex divided by positive annual increment.

Market context is not demand proof

Market	Population 2022	Population 2024	Change	2024 GDP/capita current USD
Germany	83,177,813	83,516,593	0.4%	56,104
France	68,184,457	68,551,653	0.5%	46,103
Netherlands	17,700,982	17,993,485	1.7%	67,465
Poland	36,821,749	36,559,233	-0.7%	25,104
Czechia	10,672,118	10,905,028	2.2%	31,828
Spain	47,786,102	48,848,840	2.2%	35,327

Population is persons; GDP current USD/person, not PPP or constant dollars. These are context, not demand proof. All country-years present. World Bank archive collected 27 Sep 2026 reports lastupdated 13 Jul 2026; historical revisions may exist. ECB means are local units/EUR; EUR=1.

90-day implementation

Days	Owner	Action / gate
0–15	COO + Finance	Reconcile baseline and capture service KPIs; no commitments.
16–45	Commercial + Ops	Needs account/customer and carrier data access; verify demand, delivery/returns, SKU savings and quotes.
46–70	Depends on Gate 1 evidence	Refresh fully loaded costs/FX and complete local diligence. Gate: downside increment >0 and payback ≤3 years.
71–90	COO + Board sponsor	Depends on Gate 2; commit capped pilot only if it passes, otherwise defer.

Weekly scorecard vs measured baseline: delivery median/P90 down ≥20% by day 90; on-time-in-full +5pp; returns no more than +0.5pp; realized savings ≥EUR3.10/unit; downside contribution >0; zero unresolved orphan/revision issues. These are proposed gates.

Risks and controls

Demand uplift is unmeasured; validate accounts. Savings may omit labor/inventory; check fully loaded invoices. FX stress is not probability; refresh exposure. Track returns. Local labor, tax, lease and safety need diligence. Cannibalization, working capital, discounting, taxes, ramp and residual value are excluded.

Reconciliation and reproducibility

1,328 raw order rows → 1,297 distinct IDs: 13 identical duplicates removed, 18 superseded revisions replaced, no same-revision conflicts; exclude 24 non-shipped, 18 tests, one 2026 shipment. 264 raw returns →243 IDs: 20 duplicates removed, one superseded revision; exclude one after cutoff; quarantine one orphan; include 241 eligible. No required calculation fields missing. Free/zero-price shipments retained; additive values reconcile month to year.

Synthetic client inputs (seed 2026092736) are separate from archived official ECB/World Bank data. evidence/source-register.json records URL, vintage, hash, period, units/status. Reproduce from root: python3 analysis/analyze.py then python3 analysis/build_outputs.py. No external research/interviews used.